There are a few position sizing techniques out there in the trading world. But a **simple % risk position sizing** is the most effective technique because of two reasons:

1. It risks more when you are winning and risks less when you are losing
2. Scaling up will be taken care of automatically

If the account size is Rs 100,000 and we risk 2% on every trade, then the risk per trade is 2,000.

Position Size = Risk per trade/Stop-loss

Suppose the stop-loss is 10 points for a trade setup, then

Total number of shares = 2,000/10 = 200 shares.

Assume the trade has made a profit of 10,000. In this case, our capital grows to 110,000

If you identify another trade with the same stop-loss of 10 points, then

Total number of shares = 2,200/10 = 220 shares.

Please notice that our risk amount increases whenever we make a profit (but 2% risk per trade remains the same), and hence we end up buying more shares.

Similarly, whenever our capital decreases because of the 2% rule, our position size also decreases.